executive search firms for the purpose. Industry sources say that TCS mobilises as many as 1,400 such staffers a day, depending on the requirement of the various verticals within the company. The firm had a total of 592,195 staff as on December 2022, having added 65,750 employees in 2022 alone.

How was the scam unearthed? At the company's AGM on June 29, Chandrasekaran revealed that TCS had received two separate whistleblower complaints—one regarding the appointment of business associates or contract workers in the US and another regarding the same in India—in late February and March. Per media reports, the whistleblower claimed that the global head of RMG, E.S. Chakravarthy, had been allegedly taking bribes from the staffing firms. After an inquiry, the company has reportedly sacked six employees and as many staffing firms for violating its ethical standards. Chakravarthy has since been sent on leave, claim reports, while alleging that the scam had been going on for some time and involved an amount of Rs 100 crore, although this could not be independently confirmed. (An email sent to the TCS spokesperson on the issue went unanswered.)

The incident points to severe loopholes in the hiring processes of some of the largest companies in the country, that too in a sector that is considered the first choice for many young jobseekers. IT companies have emerged as top job creators in India, with TCS, Infosys, Wipro and HCL Tech leading the pack, according to the 2022 Burgundy Private Hurun India report. Together, the four firms added 208,469 staffers in 2022, accounting for 63 per cent of the total job additions in the pool.

Experts say such instances of unethical behaviour are rampant in the industry, although not many speak about it openly. This happens especially in the contractual hiring segment. "It is very difficult to mitigate the risk for this kind of hiring because of its complexity and volatility," says the head of IT business at a large hiring firm, not wishing to be named. In permanent staffing, mostly one person is appointed at a time, the payment to the executive search firm is given in tranches, and it is a transparent process. "Contracting business, however, is an annuity thing. Every month, you need to mobilise so many people for projects across verticals. It is not a one-time payment. Multiple geographies, multiple businesses, verticals and horizontals are involved, and the landscape changes on a daily basis," says the IT business head. This creates more opportunities for such frauds. In most cases, there is a team involved, "up or down the chain", rather than just one person. "In an organisation that is 500,000-strong, it is very difficult to govern to the lowest common denominator," adds an HR consultant. "Ownership of right conduct, morality and ethics has to come at an individual level."

How can such transgressions be prevented? Some believe that decentralisation may work. In this, a function is split along a vertical or geography, so that the numbers can be controlled better. The flip side: the number of vendors would also get decentralised and become unwieldy, leading to more fraudulent practices in future. "A better way would be to publicise the names of the individuals and hiring firms involved in the fraud at the industry level, say Nasscom (the IT sector's apex grouping). The industry should blacklist them," says the IT hiring firm official quoted earlier.

HR consultant N.S. Rajan says it is important to have strict policies in place to prevent such unethical behaviour. "Values have no room for exceptions. It all boils down to how you translate organisational values into good practices and daily behaviours by constantly cascading them across the organisation. There has to be zero tolerance for moral turpitude," he says. Experts say people who are suspected of fraud need to be suspended so that the company can conduct a thorough probe using an external party, such as an audit firm. Once the investigation is over, the penal impact has to reach across the entire organisation. "Good governance must serve as the conscience of an enterprise. When anyone breaches the code of conduct, taking quick and fair punitive action reinforces the need to maintain the highest ethical standards," Rajan adds.

In this case, TCS has acted swiftly. But the IT industry should go beyond considering this as an isolated case and initiate industry-wide actions that will help restore the damage that such incidents can do to its credibility. ■

THE BIG PICTURE

5 MILLION
No. of people working in India's IT sector

592,195
TCS's staff strength in December 2022

65,750
No. of employees TCS added in 2022 alone

208,469
Staffers added by TCS, Infosys, Wipro and HCL Tech in 2022; 63% of the total IT job additions

Source: Nasscom 2022 report, 2022 Burgundy Private Hurun India report

CONTRACT HIRINGS: THE PITFALLS

- **Characterised** by size, complexity and volatility, since contract hiring is spread across several verticals and geography
- **Unlike permanent** staffing, it involves multiple teams and vendors, and thus defies a simple, linear record. This also makes transgressions difficult to trace
- **Large organisations** find it difficult to govern the lower rungs and are hence vulnerable